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PRIVATE RESEARCH EDITION · NO. 01

THE 12-STEP RESEARCH PROCESS

How to Find the *Best Stocks* in the Market

The process I run on every stock. Fail one step, and the company is off the island.

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INTRODUCTION

What I'm hunting for

I'm not hunting for hot stocks. I'm hunting for *great businesses the market has gotten wrong.*

Find the misunderstanding, and you'll make the money. The market pigeonholed Palantir as a consultancy and Tesla as a car company. That gap is where the money was.

FIVE RULES BEHIND EVERY STEP

i. Great company, fair price.
Business quality first. Valuation second.

ii. Cash is fact.
Profit is a f***ing opinion of an accountant.

iii. Blend the story and the numbers.
One without the other doesn't cut it.

iv. Probable over possible.
Bet on what's likely, not on what could happen.

v. Avoid losers first.
Just don't hit the ball in the net. Even the best investors are only right about 60% of the time.

Every step works like Survivor. Fail one, and the company is off the island.
No matter how good the story sounds.

The companies I mention are examples of how I think, from 2024 to 2026. They're not buy recommendations. This is education, not financial advice.

OVERVIEW

The 12 steps at a glance

Run them top to bottom, in this order. Fail any step and the company leaves through the dashed line on the right. No exceptions.

01	Find the secular trend · Where is a new game being played?	→
02	Sanity check · The No B***t Rule	→
03	Pre-screen · Where most companies die	→
04	Define the business · Prove you understand it	→
05	Market potential · The size of the prize	→
06	125-point scorecard · 13 categories, 0/5/10	→
07	Revenue engine and 5-year history · Four lines from the 10-K	→
08	Loan Officer Test · Read it like a banker	→
09	Competitive moat · Name it, then pressure-test it	→
10	Management · Amazed by the CEO, or out	→
11	Destroy something beautiful · Try to kill the thesis	→
12	Valuation · Don't overpay	→

◆ Survives all 12 · A company you could own for 20 years

OFF THE ISLAND

STEP ONE

Find the secular trend 01

Start with the future, not a ticker. Where is a new game being played? AI. Energy. Robotics. Then find who sells the picks and shovels. In every big shift, the infrastructure layer is where the money gets made.

Inside a trend, back the companies built for it from day one, not old businesses trying to retrofit. And be picky. **90% of AI companies are trash. Only 10% will be revolutionary.**

◆ YOUR MOVE · THE TREND TEST

A trend is real only if it checks all five:

- [ ] Real demand and paying customers
- [ ] Sustainable revenue and earnings growth
- [ ] A moat, not a commodity
- [ ] Regulatory or government tailwinds
- [ ] Adoption you can see in the real world

Then, for every company on your list, write two lines. The story the market tells about it. And what the company is actually becoming.

LINE 1 · THE MARKET'S STORY

LINE 2 · WHAT IT'S BECOMING

That gap is the misunderstanding. *No gap, no edge.*

SKIP THESE ZONES ENTIRELY

Small caps | Chinese companies | Commodities | Airlines | Seasonal businesses | Startups

STEP TWO

Sanity check

02

Three questions. The company has to pass at least two, and if it fails one, it needs a valid reason.

THIS IS MY

*No B***t Rule*

◆ YOUR MOVE · PASS TWO OF THREE

i. ☐

Revenue has grown for the past few years

ii. ☐

The company is profitable

iii. ☐

It has more cash than debt

VALID REASONS TO FAIL ONE

An infrastructure company that genuinely needs leverage, or a clear path to profitability. **Anything else, it's out.**

STEP THREE

Pre-screen

03

This takes 30 seconds to 5 minutes, and most companies die right here. That's the point.

◆ YOUR MOVE · MUST PASS ALL SIX

- [ ] Positive free cash flow for the past 4 to 6 quarters
- [ ] Net cash positive for the past 4 to 6 quarters
- [ ] Revenue growing 10% or more
- [ ] An actual moat
- [ ] A CEO and team with a track record
- [ ] No major regulatory or legal overhang

Then run my two 30-second tests.

TEST A

Rule of 40

Revenue growth % + FCF margin %

A company growing 20% with a 20% free cash flow margin scores exactly 40. That's the perfect company. Below 40, pass. North of 100 basically shuts everybody up. It works best on software and subscription businesses.

TEST B

Scalability

Revenue has to grow faster than expenses.

VERDICT	REVENUE	EXPENSES
Bad	120%	250%
Good	25%	13%
Phenomenal	21.6%	1.5%

INSTANT KILLS · ANY ONE AND I'M OUT

- × Market cap under $1 billion
- × More debt than cash, even by a dollar
- × Revenue growth below 10% and falling
- × Less than 10 years old, counted from founding
- × Short interest above 10%
- × Operating margin below 20%
- × 2 or more earnings misses in the last 4 quarters

STEP FOUR

Define the business 04

You can't evaluate the numbers on a business you don't understand. And buying one share is buying the whole business. So prove you understand it.

◆ YOUR MOVE · FILL IN THIS SENTENCE

> *[Company]* provides *X* that helps *Y* achieve *Z*, and charges *[revenue model]*.

Then answer three questions in writing:

1. What pain are we curing?
2. Who's in pain, and why?
3. Why will the customer come to us and not the competitor?

If the sentence won't come out clean, you're not ready for the numbers.

STEP FIVE

Market potential

05

Great tech in a tiny market *is a bad investment.*

So check the size of the prize before you go any deeper.

◆ YOUR MOVE

i. It sells into a broad market, not a niche ☐

ii. You checked the market size yourself, instead of trusting a random number from a lazy analyst report ☐

iii. The market is big enough to support the growth you're betting on ☐

STEP SIX

125-point scorecard

06

Think of it as a FIFA player card for a stock. 13 categories. Each one scores 0, 5 or 10. Use the last twelve months of data.

#	CATEGORY	0 PTS	5 PTS	10 PTS	SCORE
1	**Cash vs. debt**	More debt than cash	More cash than debt	2x+ cash vs. debt	
2	**Revenue growth**	Below 10%	10 to 20%	Above 20%	
3	**Operating margin**	Below 10%	10 to 25%	Above 25%	
4	**Short interest**	Above 10%	5 to 10%	Below 5%	
5	**Institutional ownership**	Below 30%	30 to 60%	Above 60%	
6	**Revenue growing faster than expenses**	No	—	Yes	
7	**5-year return vs. S&P 500**	Underperformed	Beat by 10 to 20%	Beat by 20%+	
8	**Moat***	None	Weak	Strong	
9	**CEO***	Clown	Decent	Superstar	
10	**Recession proof, pricing power**	None	Some	Strong	
11	**Secular trend***	Disrupted	Somewhat on trend	Exactly on trend	
12	**Culture and mission***	None	Some	Strong	
13	**Talent***	Low	Medium	High	

*Subjective. Score these as harshly as you can.

100 - 125

Exceptional. Once in a lifetime.

75 - 100

Watchlist. Investable.

BELOW 75

Absolute no-go

If you love a stock but it scores 75, the stock doesn't love you back.

STEP SEVEN

Revenue engine and 5-year history

07

Financial statements is where you find the truth. *CEOs overhype. The numbers don't.*

First understand how the money gets made: which segments drive revenue, and how the company wins customers.

◆ YOUR MOVE · FIVE YEARS FROM THE 10-K, FOUR LINES

Revenue	Growing every year. Accelerating means growth stage. Slowing toward single digits means it's maturing.
Operating margin	Expanding. Expanding margins mean freedom. Weak margins mean fragility.
Free cash flow	Positive and rising. How many dollars land in the bank from every dollar of sales?
Cash vs. debt	More cash than debt, every year

120%

For software, also check net dollar retention. 120% or higher means existing customers keep spending more every year.

Read **income from operations**, not net income. Net income is about how the accountant is working, not how the business is working. And whenever you see "adjusted EBITDA," **run like the plague.**

STEP EIGHT

Loan Officer Test

08

Read the balance sheet like a banker deciding whether to lend this company money.

DEBT IS

prison.

CASH IS

freedom.

◆ YOUR MOVE · RUN THESE FOUR NUMBERS

THE ULTIMATE NUMBER

Interest coverage

Operating income ÷ interest expense

4 to 10x

SOLVENCY

Assets to liabilities

Total assets ÷ total liabilities

2:1 min · 3:1 ideal

LIQUIDITY

Current ratio

Current assets ÷ current liabilities

1.0+

LEVERAGE

Debt-to-equity

Total liabilities ÷ shareholders' equity

Lower is better. 4x+ is a red flag.

Leave goodwill out of the assets. Real assets only. And always compare against peers in the same industry. A retailer will always look less liquid because of its inventory. That's normal for retail.

STEP NINE

Competitive moat

09

Without a moat, revenue growth is irrelevant. Moat and growth go together, like burger and fries. The best companies have more than one.

◆ YOUR MOVE · WHICH OF THE SIX DOES IT HAVE?

i. ☐

Network effects

YouTube, Meta

ii. ☐

Technology and patents

NVIDIA chips, Palantir Foundry

iii. ☐

Switching costs

Salesforce, SAP. Hotel California. You can check out, but you can never leave.

iv. ☐

Scale

Walmart, Costco

v. ☐

Regulation

Defense contracting, healthcare

vi. ☐

Brand

Apple, Coca-Cola

Then pressure-test it:

- ☐ Is the moat getting stronger or weaker over time?
- ☐ Why do customers choose this business, why do they stay, and will they come back for the next 10 years?
- ☐ If a competitor threw 20 engineers at every one of yours, could they copy this business in a year? If not, it's a real moat.
- ☐ Does the operating margin prove it? Pricing power shows up there.

62.4% **NVIDIA's operating margin in hardware.** Impossible without a massive moat.

STEP TEN

Management

10

I won't invest unless I'm *amazed* by the CEO.

Track record comes first. If somebody failed at everything before, nothing else matters. **Bozos hire bozos. Superstars hire superstars.**

◆ YOUR MOVE · THE CEO CHECKLIST

- [ ] 01 A track record of execution: revenue growth, better margins and innovation on their watch
- [ ] 02 Skin in the game: buying stock on the open market, not just collecting options
- [ ] 03 10+ years in the role, ideally as the founder
- [ ] 04 Disciplined capital allocation on buybacks, debt and acquisitions
- [ ] 05 Straight answers, even when they don't look good
- [ ] 06 Consistent earnings beats
- [ ] 07 The kind of leader great people want to work for
- [ ] 08 Results, not excuses

INSTANT RED FLAGS

A clown CEO | A co-CEO structure | An acquisition shopping spree

STEP ELEVEN

Destroy something beautiful

II

By now you like this stock. That's exactly when you're most dangerous to yourself. **So try to kill it.**

◆ YOUR MOVE

1

Write down 3 to 5 reasons your thesis is wrong.

2

Go to Seeking Alpha and read the bearish analysis.

3

Write a short bear case in plain words.

4

Ask yourself: can I live with it? If not, it's out.

RED FLAGS THAT END THE RESEARCH ON THE SPOT

- × Fraud or an accounting scandal. Even a suspicion.
- × Declining margins
- × Insiders selling hard while the stock runs
- × An auditor change
- × Revenue spiking while inventory piles up
- × Over-expansion or an acquisition spree

Watch for the hype trap

ALL FOUR AT ONCE? RUN.

No revenue	Weak fundamentals	Constant share sales to raise cash	Nonstop media hype

STEP TWELVE

Valuation

12

Valuation is a tool, not an answer. But you can get the thesis 100% right and still lose money if you overpay.

CISCO REVENUE, THEN	CISCO REVENUE, LATER	PEAK BUYERS, 25 YRS ON
$2B	$60B	−23%

Cisco grew revenue from $2 billion to $60 billion, and people who bought at the peak were still down 23% twenty-five years later.

◆ YOUR MOVE · PART 1

The reverse DCF

Start with today's price and work backward to the growth it implies. If the price only makes sense with 75% EBITDA growth a year for five years, that's your answer. If implied growth equals what the company is already delivering, there's no gap.

The gap is where you make money.

◆ PART 2

My 10 to 20 minute DCF

01 Average the last 3 years of revenue, revenue growth and free cash flow margin.

02 Trim the growth rate to stay conservative, then project free cash flow 5 years out.

03 Discount at 10%. Use 8% for the bull case and 12% for the bear case.

Bull 8% | Base 10% | Bear 12%

04 Add a terminal value at 4% growth. **That's a rule you don't break.**

05 Add cash, subtract debt, and divide by shares outstanding.

06 Compare to today's price in all three cases. **Even the bear case has to be attractive.**

◆ VALUATION · PART 3

Use the right multiple

COMPANY TYPE	USE
Mature companies, hardware, banks	Forward PE against peers in the same industry. *Forward PE is life.*
Software	The Rule of 40 tells you more than PE.
Early growth, not yet profitable	Price to sales against the industry average.

PEG

Forward PE ÷ EPS growth rate

< 1	= 1	> 2
UNDERVALUED	FAIR	VERY EXPENSIVE

AFTER THE 12 STEPS

Once a stock survives

A company that clears all 12 steps is one you could own for 20 years. From there:

Buy slowly.

A fixed amount, on a fixed date, automated. That's DCA. Never lump sum into a stock.

Write your exit before you buy.

Take a piece of paper. Write why you own it and what would make you sell. Fraud means out immediately. A thesis that breaks slowly means selling gradually over about 18 months. Price moves are never a reason.

Check it every quarter.

Listen to the earnings call, read the quarterly numbers, and re-run the scorecard once a year. When the stock drops, ask one question. Did anything meaningful change about the business?

> Save more money. Buy better companies. Stay invested for longer.
>
> THIS FORMULA IS UNDEFEATED

◆ THE TOOLS I USE

Most of this is free. Companies are required by law to publish their numbers.

Stock MVP · My own platform for the scorecard and the DCF. stock-mvp.com

SEC filings and IR pages
The 10-K and 10-Q, straight from the source.

Yahoo Finance
Free numbers on PE, debt and shares outstanding.

Seeking Alpha
Short interest and the bear cases for Step 11.

NotebookLM
How I digest earnings calls and reports.